same amount as they changed last year. Such a forecast would have no higher degree of error than that of the average half-million-dollar-a-year security analyst.

The extrapolation method of forecasting is natural, plausible—and wrong.

If you are trying to extrapolate growth rates, don't confuse short-term swings with long-term trends. If you are looking at a company in the women's shoe industry as a possible investment, for example, you should expect long-term growth in unit sales of about 2 percent per year. If you find a shoe company with a hot new running shoe, and its sales for the last two years have climbed 15 percent a year, what should you expect in the way of growth over the next five years? Short-term—for another year or two—15 percent might be sustainable, but after that you ought to anticipate reversion to the mean. For the fifth year out, 2 percent growth would be a sensible forecast.

Exceptional growth usually sows the seeds of its own decline. The gaming industry is a naturally attractive business. You fill up a building with slot machines and the public volunteers to come and put money in them for you, and you don't have to provide any product or service in return. When the industry was allowed to expand out of its enclaves in Nevada and Atlantic City, each new casino and riverboat was instantly and gloriously profitable. Harrah's, a winner in this period of expansion, saw its stock go from a 1990 low of 3 to a 1993 high of 40.

Then the free-market system did its work. With profit opportunities as rich as this, who wouldn't build a casino? Competition rose, spread, and squeezed profitability. Harrah's still makes money, but